EnerSys (ENS): BUY

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Mispriced on near-term industrial headwinds while A&D backlog surges 27% and AI data centers drive backup power demand.

BUY	$220	$168.72	+30.3%
RATING	BASE TARGET	SPOT (10/16)	UPSIDE TO BASE

$152 / $286	9.5%	1.185	$6.1B	11.7x	0.91x
BEAR / BULL	LIVE WACC	BETA	MARKET CAP	FORWARD P/E	PEG

Executive summary

We initiate coverage on EnerSys (NYSE: ENS) with a BUY rating and a $220 base-case target, implying 30% upside from the current $168.72. EnerSys is the global leader in stored energy solutions for industrial applications, operating through three segments: Energy Systems (telecom, broadband, data center backup power), Motive Power (forklift batteries and chargers), and Specialty (aerospace, defense, medical).

The market is pricing in an industrial recession, valuing ENS as if revenue will stagnate at a 2% CAGR with compressing margins. We see this as a mispricing. Management recently disclosed that the Aerospace & Defense backlog surged 27%, with the munitions backlog up 230% year-to-date. The Specialty segment is converting this backlog into revenue at an accelerating pace. Meanwhile, AI data centers with rising power density requirements are driving demand for advanced backup battery ecosystems, a market where ENS holds a narrow-to-wide moat through switching costs and its proprietary Thin Plate Pure Lead (TPPL) technology.

Q2 FY2027 results (September quarter) showed $935.6M in sales (+4.8% YoY), a 16.2% adjusted operating margin, and $217.8M in free cash flow. Net leverage sits at a comfortable 1.3x EBITDA. IRC Section 45X domestic manufacturing tax credits are structurally boosting gross margins and free cash flow, a benefit the market has not fully credited.

> **Our read:** The market sees a cyclical forklift battery company. We see a defense and data center power infrastructure play trading at an industrial multiple. The 2.1% revenue CAGR implied by the current price assumes the A&D backlog and AI power demand simply do not materialize. That is too pessimistic.

Base-case assumptions

INPUT	BEAR	BASE	BULL
Revenue CAGR (5-yr)	2.0%	**6.0%**	9.0%
EBIT margin	11-12%	**13-14.5%**	15-16.5%

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Cash tax rate	21%	**21%**	21%
D&A (% revenue)	3.5%	**3.5%**	3.5%
Capex (% revenue)	2.5%	**2.5%**	2.5%
Terminal growth	2.5%	**2.5%**	2.5%
Beta (decaying)	1.185 to 1.00	**1.185 to 1.00**	1.185 to 1.00
Implied target	$152	**$220**	$286

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Bull case: $286 A&D SUPERCYCLE

A&D supercycle: The 230% munitions backlog converts to revenue faster than expected, and defense budgets continue expanding. Specialty segment margins expand above 20%.

AI data center acceleration: Hyperscale backup power orders surge as power density requirements force infrastructure upgrades. Energy Systems grows double digits.

45X credits expand: IRC 45X benefits prove larger and more durable than modeled, lifting FCF margins toward 16% and supporting aggressive buybacks.

Bear case: $152 INDUSTRIAL SLOWDOWN

Industrial recession deepens: Motive Power (forklifts/material handling) deteriorates further as warehouse automation pauses and customers defer capex. Book-to-bill stays below 1.0x.

A&D conversion stalls: The munitions backlog faces procurement delays or contract renegotiations, pushing revenue recognition out.

Margin compression: Lead prices spike or tariff benefits reverse, compressing the 16.2% adjusted operating margin back toward single digits.

Verdict

> Our $220 base case assumes 6% revenue CAGR with 13-14.5% EBIT margins, a 21% cash tax rate, and 2.5% terminal growth. At $168.72, the stock offers 30% upside with a favorable risk/reward skew: the bear case ($152) implies only 10% downside while the bull case ($286) offers 70% upside. The 1.3x leverage ratio and $218M quarterly FCF provide downside protection.

What would change our mind

- Motive Power book-to-bill recovering above 1.0x for two consecutive quarters would signal the industrial trough has passed.
- Specialty segment revenue growth decelerating below 10% would undermine the A&D thesis.
- Loss of a major hyperscale data center contract to a competitor would signal moat erosion.
- Net leverage rising above 2.5x would constrain the buyback and dividend.

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Key themes

1. A&D Backlog Conversion ACCELERATING

Specialty backlog +27%, munitions +230% YTD. Revenue conversion is the key metric to watch over the next 4 quarters.

2. AI Data Center Power ACCELERATING

Rising rack power density requires advanced backup. ENS is qualified with major hyperscalers; design wins drive multi-year revenue.

3. IRC 45X Tax Credits STABLE

Domestic manufacturing credits structurally boost FCF. Benefit is recurring as long as US production continues.

4. Motive Power Normalization STABLE

Book-to-bill at 0.9x as the segment returns to pre-COVID levels. Not growing, but stabilizing.

5. Operational Optimization STABLE

Monterey plant closure ahead of schedule. Cost actions support margin expansion toward the 13-14% normalized range.

Other KPIs

METRIC	VALUE
Q2 FY2027 Sales	$935.6M (+4.8% YoY)
Adj. Operating Margin	16.2% (vs single digits a year ago)
Quarterly FCF	$217.8M (19% LTM margin)
Net Leverage	1.3x EBITDA (below target)
Quarterly Dividend	$0.2625/share
A&D Backlog	+27% (munitions +230% YTD)

Guidance

Management guides to sustained double-digit adjusted operating margins post-normalization of one-time tariff benefits. The company targets net leverage below 2.0x and continues returning capital through the $0.2625 quarterly dividend and active share repurchases funded by robust free cash flow.

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Reverse DCF: what the market is pricing in

At $168.72, the market is pricing in a 2.1% five-year revenue CAGR with base-case FCF margins held flat. This sits just above our Bear case (2%) and well below our Base case (6%). The implied verdict: between Bear and Base, cautious. To justify the current price with a 9.5% WACC and 2.5% terminal growth, one must assume the A&D backlog and AI data center demand contribute nothing incremental. We view this as overly pessimistic.

SCENARIO	REVENUE	TARGET
Bear (2%)	$152	**-10%**
Market implied (2.1%)	$169	**current**
Base (6%)	$220	**+30%**
Bull (9%)	$286	**+70%**

Model

Full three-scenario DCF with live CAPM and implied-ERP tab:
https://docs.google.com/spreadsheets/d/1P7XCXbi9ycbOjm6FG7OF5TamNUi1Bocp54zpGv4oGLY/edit

Risks to our BUY

- Industrial cyclicality: Motive Power is exposed to warehouse and manufacturing capex cycles; a deep recession would pressure volumes.
- Customer concentration: Loss of a major telecom or hyperscale customer would impact Energy Systems.
- Lead price volatility: Lead is a key input; sharp price increases compress margins if not passed through.
- Defense budget shifts: Changes in US defense spending priorities could slow A&D backlog conversion.
- Competition: East Penn, Exide, and GS Yuasa compete on price in commoditized segments.

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